Bontle Ka Nthabi

Beauty Academy

BUSINESS

PLAN

WORK, LIFE, BALANCE

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WORK, LIFE, BALANCE

ABOUT US

Executive Summary

Bontle ka Nthabi Beauty Academy is a beauty school established in the city of Rustenburg in North West, to provide its students with quality education using the latest technology available in this modern age.

Our curriculum at Bontle ka Nthabi Beauty Academy involves the most widely-used curriculum in cosmetology education today and some other well-defined supplement materials.

We stay committed to creating a professional atmosphere where there is synergy, excitement, and teamwork.

Company Profile

Our Products and Services:

Our renowned beauty courses are for those who dream to be professional, high fashion artists and excel in the beauty industry. Bontle ka Nthabi Beauty Academy intends to offer programs in Cosmetology:

- Nail Technology
- Makeup Artistry
- Massage
- Wax
- Facial
- Eyelashes

Note that all our programs will be taught in English. At Bontle ka Nthabi Beauty Academy, we are fully equipped to meet all the demands of today's salon. The facility features private classrooms, client reception, work areas, and equipment.

Nature of the Business:

Our plan at Bontle ka Nthabi Beauty Academy is to provide the city of Rustenburg with a Cosmetology institution that targets all socioeconomic standings and is a model for the industry nationally.
At Bontle ka Nthabi Beauty Academy, our areas of business includes a full-service women's salon, a men's salon, and an educational center.

WORK, LIFE, BALANCE

Mission Statement

Our mission at Bontle ka Nthabi Beauty Academy is to offer prospective students the platform to attain prosperous careers through quality education in practical, business, and customer service skills necessary for employment as professionals in their specialized fields and also allowing them to be entrepreneurs.

Vision Statement

Our vision at Bontle ka Nthabi Beauty Academy is to establish a professional, productive, and profitable salon environment, supplying the community with a school of cosmetology.

Tagline or Slogan

"Crafting Careers in Beauty!"

Legal Structure of the Business

Bontle ka Nthabi Beauty Academy is registered with CIPC and SARS, details below:

- CIPC company registration number : 2024/598391/07
- SARS tax number : 9544030225

Ownership/Shareholder Structure and Board Members

Nthabiseng Josephine Seerane legally owns and controls the academy, which is legally recognized by the CIPC and SARS.

SWOT analysis

Strength

- Experienced management
- Moderate barriers to entry
- High gross margins from teaching services
- Relatively immune from negative changes in the economy.

Weakness

- New business
- High operating expenses
- Industry competitions

Opportunities

- Can expand by increasing the number Of disciplines
- Ability to provide ancillary course Materials, including online courses, podcasts, etc.

Threats

- Major and sustained economic recession
- Similar business in our location

The Industry:

Bontle ka Nthabi Beauty Academy will focus on the South African Cosmetology & Beauty Schools industry. Establishments in this industry offer training in barbering, hair styling, or cosmetic arts, such as makeup or skincare.

THE INDUSTRY

A vibrant industry

The cosmetology school industry in South Africa is quite vibrant and diverse. Cosmetology schools in the country offer a range of programs that cover various aspects of beauty and personal care, including hair styling, skincare, makeup, and nail technology.

Here are some key points about the industry:

Diverse Educational Opportunities:
There are numerous cosmetology schools across South Africa, such as Scandinavian Umicore Beauty College, Madge Wallace, and Face To Face Beauty School. These institutions provide comprehensive training programs that prepare students for careers in the beauty industry.

Accreditation and Licensing:
To become a licensed cosmetologist in South Africa, students typically need to complete a recognized training program and pass a licensing exam. This ensures that they meet the professional standards required to practice in the industry.

Career Prospects:
Graduates from cosmetology schools can pursue various career paths, including becoming hair stylists, barbers, estheticians, and makeup artists. The beauty industry in South Africa is growing, offering ample opportunities for skilled professionals.

Research and Development:
Some universities in South Africa, such as the University of Cape Town and the University of Pretoria, are involved in research related to cosmetology, contributing to advancements in the field

What are the Future Trends in the Industry:

The cosmetology school industry in South Africa is evolving with several key trends shaping its future:

Online Learning Platforms:
The adoption of online education has increased, allowing students to access cosmetology courses remotely. This flexibility is particularly beneficial for those who cannot attend in-person classes.

Eco-Friendly Beauty Education:
There is a growing emphasis on sustainable and eco-friendly practices within beauty education. Schools are incorporating environmentally friendly products and techniques into their curricula.

Specialized Training Programs:
There is an expansion in specialized training areas such as medical esthetics, hair restoration, and advanced skincare techniques. These programs cater to the increasing demand for niche beauty services.

Partnerships with Major Beauty Brands:
Cosmetology schools are forming partnerships with well-known beauty brands to provide students with hands-on experience and exposure to industry-standard products and practices.

International Student Enrollment:
The industry is seeing a rise in international students enrolling in South African cosmetology schools, attracted by the quality of education and the diverse beauty culture.

These trends are helping to modernize the industry and ensure that graduates are well-prepared for the evolving demands of the beauty sector.

THE MARKET

Marketing Plan

Target audience

- **Age range**

At Bontle ka Nthabi Beauty Academy, we expect our target audience to fall within the age range of 16 to 55 years.

- **Level of Educational**

At Bontle ka Nthabi Beauty Academy, we always ask for a copy of a high school matric, an official transcript of secondary school completion, or a state certification of home-school completion.

- **Income Level**

Bontle ka Nthabi Beauty Academy will market to potential students that include high school students, and we do not expect them to already have a steady stream of income.

- **Ethnicity**

Bontle ka Nthabi Beauty Academy does not discriminate in its employment, admission, instruction, or graduation policies based on sex, age, race, color, religion, or ethnic origin.

- **Language**

Note that all our programs will be taught in English.

- **Geographical Location**

Bontle ka Nthabi Beauty Academy does not discriminate in its employment, admission, instruction, or graduation policies based on sex, age, race, color, religion, or ethnic origin.

- **Lifestyle**

Bontle ka Nthabi Beauty Academy won't recruit students already attending or admitted to another school offering similar programs of study.

Marketing Strategies

Advertising and Promotion Strategies

- Sign up for free listings in online directories that provide information on beauty schools across the country, such as the beauty schools directory.
- Build a website to market our beauty training course
- Secure good employees
- Showcase at public events
- Rent a booth at beauty or high school and college job fairs to attract students looking for a career in cosmetology.
- Use print ads in publications where prospective cosmetology students are likely to see and act on our messages, such as in local publications or community newspapers.
- Utilize standard advertising measures

Traditional Marketing Strategies

- Align with Spas and Fashion Houses
- Collaborate with Organizations for Good Causes
- Draw in Traffic to our Business Website
- Offer Promotions and Discounts
- Use Creative Packaging for our Retail Products
- Marketing through Direct Mail

Digital Marketing Strategies

- Establish a community to build brand advocacy
- Add testimonials to our retail product web pages
- Powerful content marketing
- Make use of Micro-influencers
- Find customers through social listening
- Collaborate with high schools and spas

Social Media Marketing Plan

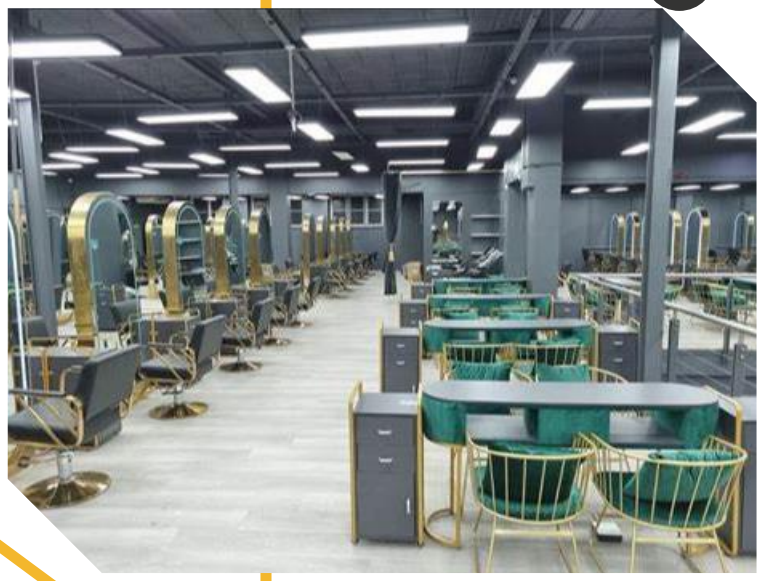
- Post Content That Will Intrigue our Target Customer
- Use Facebook as a Key Communication Tool
- Use Twitter as an Information source about our services
- Provide Incentives For Instagram Word-Of-Mouth
- Provide Group Deals
- Use Twitter hashtags

Pricing Strategy

In this line of business, how much you charge students will most often reflect the socioeconomic status of your clientele while also remaining competitive with other businesses. Ideally, R1500 would be the low-end for short courses while R3000 would be the high-end.

Customer Support Strategy

Aside from the fact that students will be learning here, our real customers will also be coming here for salon services. We will always strive to ensure that our school boasts of a professional salon feel, complete with colors, design elements, and an overall theme. We believe this will give our students a better understanding of what it's like to work in salons after they graduate.



Additionally, it will also make customers feel less like they're being practiced at a salon school, and more like they're getting professional services at a real salon. Truth be told, helping customers feel comfortable and relaxed remains one of the primary goals of Bontle ka Nthabi Beauty Academy.

Operational Plan

Bontle ka Nthabi Beauty Academy is open Monday through Thursday: 8:00 AM – 14:00 PM, Friday special classes 9:00 AM – 13:00 PM.

What Happens During a Typical Day at Bontle Ka Nthabi Cosmetology School?

We teach through a balance of books and hands-on learning. At cosmetology school, intellectual and practical training work together to provide students an all-encompassing education. Note that a typical day involves some semblance of textbooks, observation, and practice applying skills on mannequins. After some time with textbooks and mannequin practice, students start to practice on clients.

Service Procedure

Our aim at the Bontle ka Nthabi Beauty Academy is to offer our students extensive education through a sequential set of learning steps that address specific tasks required for graduation and job entry-level skills. Clinic equipment, implements, and products are comparable to those used in the industry.

Note that each student will receive instruction that relates to the performance of useful, creative, and productive career-oriented activities. All our courses are presented via well-developed lesson plans, and this will reflect current educational methods. Subjects are presented through lecture, demonstration, and student participation. Audio-visual aids, guest speakers, field trips, and other related learning methods are used in the course.

The Supply Chain

Truth be told, every cosmetology school is different, especially with rules and regulations varying across all provinces. We at Bontle ka Nthabi Beauty Academy totally understand the need of getting a provider who can create custom-made furniture that fits our space. We only leverage suppliers and providers who specialize in beauty schools and can supply the whole package. We have a provider who can sell us more than a few pieces and can also advise us every step of the way, helping with layout, space planning, bulk-package pricing, etc.

Sources of Income

- Cosmetology program fees
- Offering beauty services
- Selling of beauty products
- Providing access to extracurricular activities
- Retailing of educational books and materials

FINANCIAL PLAN

Financial Plan

Facility

At Bontle ka Nthabi Beauty Academy, we do not plan to build a new facility, but rather to start with a long-term lease.

The ongoing expenses of running a Cosmetology School Business:

- Inventory
- Marketing strategy and related advertising investments
- Insurance
- Education, travel, and market research
- Advertising
- Utilities

How much we charge for our service?

Just like it was stated above, how much we charge students will most often reflect the socioeconomic status of our clientele, while also remaining competitive with other businesses!

Ideally, R1500 would be the low-end for short courses while R3000 would be the high-end. However, businesses in this industry are advised to research what the competition is charging and set their prices accordingly.

Sales Forecast:

At Bontle ka Nthabi Beauty Academy, we will be the first to openly note that our vocational center, Salon, and store might not be able to generate the profitability baseline in the first month. However, we are very confident it will become fully profitable by the first quarter of the first year. We also expect our establishment to attain its full potential of sales in the first year.

First Fiscal Year (FY1): **R331,200** (3 students per month full course of R9200 for 11 months)
Second Fiscal Year (FY2): **R506,000** (5 students per month)
Third Fiscal Year (FY3): **R1,012,000** (10 students per month)

Income Statement

	Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue		331,200	506,000	1,012,000	1,265,000	1,581,250
Gross margin %		*55.0%*	*55.0%*	*55.0%*	*55.0%*	*55.0%*
Cost of sales		149,040	227,700	455,400	569,250	711,563
Gross margin		**182,160**	**278,300**	**556,600**	**695,750**	**869,688**
Research and development		5,000	6,000	8,000	17,000	25,000
Sales and marketing		6,000	7,000	8,000	16,000	24,000
General and administrative		5,000	6,000	9,000	17,000	26,000
Operating expenses		**16,000**	**19,000**	**25,000**	**50,000**	**75,000**
Depreciation	*20.0%*	5,000	14,000	11,600	9,680	11,744
Operating income		**161,160**	**245,300**	**520,000**	**636,070**	**782,944**
Finance costs	*4.0%*	600	2,248	1,615	956	487
Income before tax		**160,560**	**243,052**	**518,385**	**635,114**	**782,456**
Income tax expense	*27.0%*	43,351	65,624	139,964	171,481	211,263
Net income		**117,209**	**177,428**	**378,421**	**463,633**	**571,193**

Balance sheet

	Assumptions	Opening	Year 1	Year 2	Year 3	Year 4	Year 5
Assets							
Cash		5,000	79,176	232,183	535,745	963,975	1,474,612
Accounts receivable	*45*	6,000	40,833	62,384	124,767	155,959	194,949
Inventory	*90*	5,000	36,750	56,145	112,290	140,363	175,454
Current assets		**16,000**	**156,758**	**350,712**	**772,803**	**1,260,297**	**1,845,015**
Long-term assets		20,000	20,000	56,000	46,400	38,720	46,976
Total assets		**36,000**	**176,758**	**406,712**	**819,203**	**1,299,017**	**1,891,991**
Liabilities							
Accounts payable	*60*	3,500	24,500	37,430	74,860	93,575	116,969
Other liabilities	*60*	2,500	9,855	14,280	27,383	36,565	47,137
Current liabilities		**6,000**	**34,355**	**51,710**	**102,243**	**130,140**	**164,106**
Long-term debt	*3*	15,000	10,195	40,365	23,902	12,185	
Total liabilities		**21,000**	**44,549**	**92,075**	**126,145**	**142,325**	**164,106**
Equity							
Capital		10,000	10,000	15,000	15,000	15,000	15,000
Retained earnings		5,000	122,209	299,637	678,058	1,141,691	1,712,884
Total equity		**15,000**	**132,209**	**314,637**	**693,058**	**1,156,691**	**1,727,884**
Total liabilities and equity		**36,000**	**176,758**	**406,712**	**819,203**	**1,299,017**	**1,891,991**

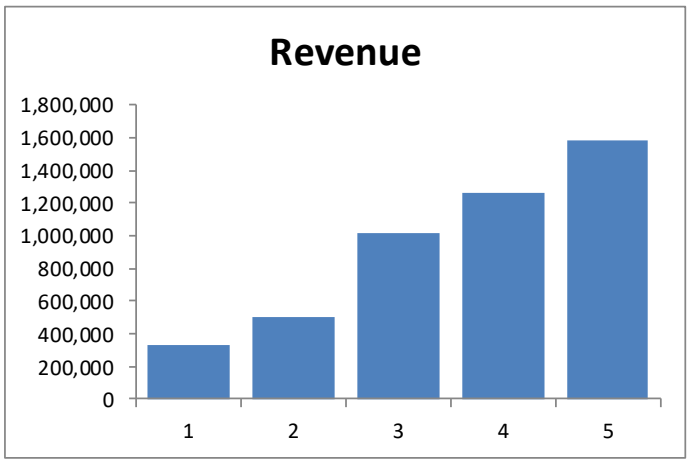
Cash Flow Statement

	Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5
Net income		117,209	177,428	378,421	463,633	571,193
Add back depreciation		5,000	14,000	11,600	9,680	11,744
Changes in working capital						
Accounts receivable		-34,833	-21,551	-62,384	-31,192	-38,990
Inventory		-31,750	-19,396	-56,145	-28,073	-35,091
Accounts payable		21,000	12,930	37,430	18,715	23,394
Other liabilities		7,355	4,425	13,102	9,182	10,572
Cash flows from operating activities		**83,981**	**167,838**	**322,025**	**441,946**	**542,822**
Amount paid for long-term assets		-5,000	-50,000	-2,000	-2,000	-20,000
Cash flows from investing activities		**-5,000**	**-50,000**	**-2,000**	**-2,000**	**-20,000**
Proceeds from long-term debt	*4*		46,000			
Proceeds from issue of share capital			5,000			
Repayment of long-term debt		-4,805	-15,830	-16,463	-11,716	-12,185
Cash flow from financing activities		**-4,805**	**35,170**	**-16,463**	**-11,716**	**-12,185**
Cash flow		**74,176**	**153,008**	**303,562**	**428,230**	**510,637**
Beginning cash balance		5,000	79,176	232,183	535,745	963,975
Ending cash balance		**79,176**	**232,183**	**535,745**	**963,975**	**1,474,612**

Ratios

	Year 1	Year 2	Year 3	Year 4	Year 5
Profitability (Net income / Revenue)	35.4%	35.1%	37.4%	36.7%	36.1%
Efficiency (Revenue / Assets)	1.87	1.24	1.24	0.97	0.84
Leverage (Liabilities / Assets)	25.2%	22.6%	15.4%	11.0%	8.7%
Operating return on assets (ROA)	91.2%	60.3%	63.5%	49.0%	41.4%
Return on equity (ROE)	88.7%	56.4%	54.6%	40.1%	33.1%
Liquidity (Current assets / Current liabilities)	4.56	6.78	7.56	9.68	11.24
Breakeven revenue	39,273	64,087	69,481	110,247	158,603

Graphs


Revenue
1,800,000
1,600,000
1,400,000
1,200,000
1,000,000
800,000
600,000
400,000
200,000
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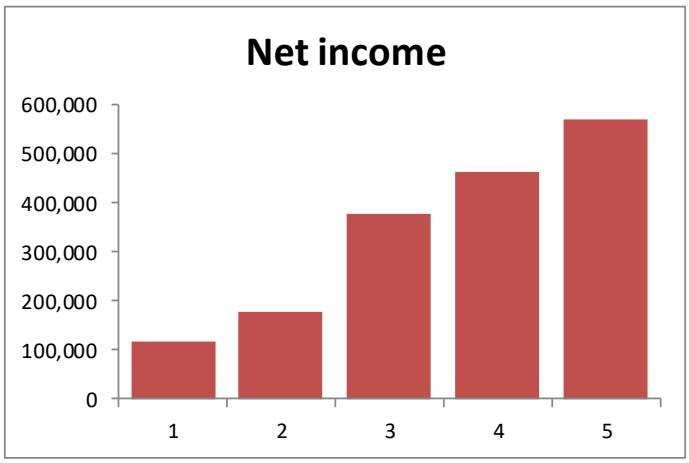
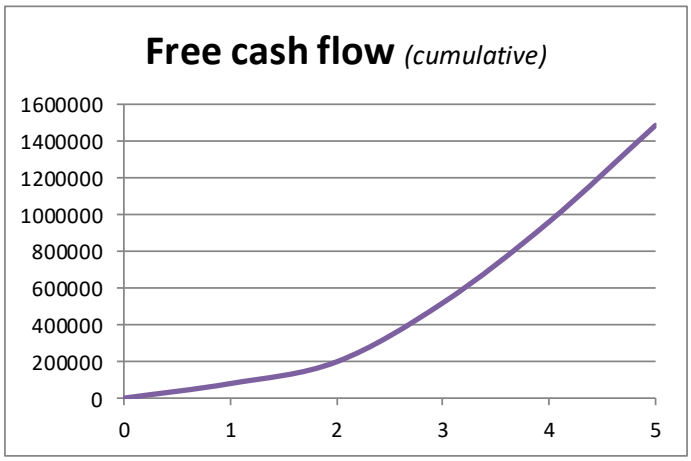
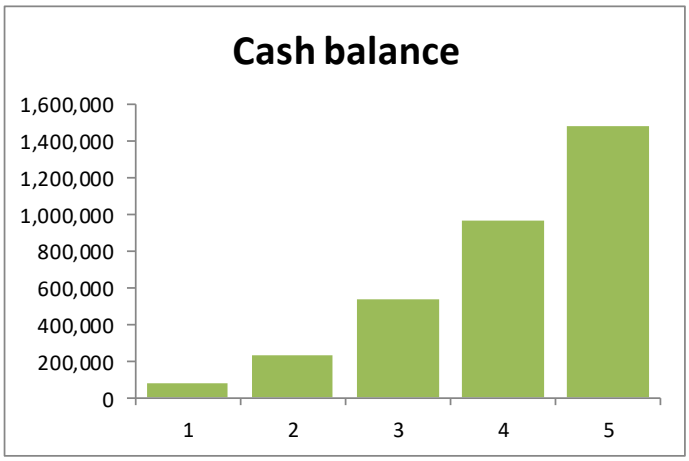
1
2
3
4
5


Net income
600,000
500,000
400,000
300,000
200,000
100,000
0
1
2
3
4
5


Free cash flow (cumulative)
1600000
1400000
1200000
1000000
800000
600000
400000
200000
0
0
1
2
3
4
5


Cash balance
1,600,000
1,400,000
1,200,000
1,000,000
800,000
600,000
400,000
200,000
0
1
2
3
4
5

What are the Future Plans:

Growth Plan

At Bontle ka Nthabi Beauty Academy, our future growth plans include the expansion of our retail department with virtual shopping that will serve as an online shopping center. Our school will also start conducting advanced evening classes, maximizing productivity.

Also note that the ownership of the present building is planned, expanding an additional 4,500 square feet for school and salon. We also intend to have apartments in the upper level and offer housing options for our students for a fee. Once we have achieved all these, we intend to open up more locations by leveraging the franchise route to reach strategic locations across South Africa.

Exit Plan

At Bontle ka Nthabi Beauty Academy, we have decided that acquisition and mergers will better suit our business intentions better. In the general beauty industry, investor enthusiasm has risen encouragingly over the years and isn't likely to change any time soon. Venture capital firms are always eager to partner with growing viable businesses. Owing to that, we intend to build a brand that reeks of sustainability and inclusivity.